



VRC-UK-2023-0801

15/01/2023

CUSTOMER FRAMEWORK AGREEMENT

Veracier UK / Britannic Aerospace Systems plc

THIS AGREEMENT is made as of 15/01/2023

BETWEEN:

Britannic Aerospace Systems plc ("Customer")

AND

Veracier UK Ltd ("Supplier")

Section 1 — Scope of Supply

Veracier UK Ltd shall supply to Britannic Aerospace Systems plc the products and services described in the Technical Schedule.

Section 2 — Term

This Agreement shall be for an initial term of five (5) years from the Effective Date.

Section 3 — Pricing

Prices are as set forth in the Pricing Schedule.

Section 4 — Delay Penalties

Late deliveries shall be subject to liquidated damages of 0.5% per week, capped at 10%.

Section 5 — Warranty

Supplier warrants all Products against defects in design, materials, and workmanship for twenty-four (24) months from delivery.

Section 6 — Liability

Supplier's liability shall be unlimited in respect of IP infringement and classified data breach. In all other respects, Supplier's aggregate liability shall not exceed two (2) times the annual contract value.

Section 7 — Governing Law

This Agreement shall be governed by the laws of England and Wales.

Sensitivity analysis indicates that the nuclear decommissioning provision is particularly sensitive to the discount rate assumption: a +/- 0.5% change in the rate results in a +/- EUR 1.2 million variation.

The CAPA opened in response to the recurring non-conformity includes the following actions: supplementary supplier audit, enhanced receiving inspection, and qualification of an alternative supplier.



The net debt to EBITDA ratio stands at 1.8x, well within the 3.0x covenant threshold under the EUR 250 million syndicated credit facility.

Statistical process control (SPC) monitoring is in place for critical dimensions identified in control plan CP-AV3000-Rev.F. Process capability indices Cpk exceed 1.67 for all key characteristics.

The matter has been entered in the Group's legal risk register under reference LR-2024-XXX. Oversight has been assigned to the General Counsel.

The manufacturing routing comprises 9 principal operations from material cutting (Op 10) to final inspection and release (Op 90). Each operation requires operator sign-off and quality verification.

The batch record includes the following records: production traveller, test reports (leak, fatigue, functional, NDT), material certificates, calibration certificates, non-conformity reports where applicable, and EASA Form 1.

The Supplier shall maintain ISO 9001 certification (and AS9100 or NADCAP where applicable) throughout the Term. Loss of certification shall constitute a material breach entitling the Customer to suspend Purchase Orders.

The risk of an adverse costs order has been factored into the provision estimate, with additional exposure estimated at between GBP 50,000 and GBP 150,000.

Any dispute arising out of or in connection with this Agreement shall first be subject to good faith negotiations for a period of thirty (30) days. If unresolved, either Party may refer the dispute to the competent courts as specified herein.

Statutory interest on any damages awarded shall accrue at the applicable rate under section 35A of the Senior Courts Act 1981.

The Legal Department recommends appointment of a mediator accredited by the Centre for Effective Dispute Resolution (CEDR) to attempt settlement before the commencement of substantive proceedings.

The statutory auditors have raised an observation regarding the nuclear decommissioning provision, recommending that the actuarial assumptions be reviewed by an independent actuary.

Any amendment to this Agreement shall be in writing and duly executed by authorized representatives of both Parties. No oral modification or waiver shall be binding upon either Party.

Calibration of the hydraulic test bench TB-042 was verified prior to testing. Calibration certificate No. CC-2024-042-012, issued by a UKAS-accredited laboratory, is included in the batch record.

The 3.1 material certificate per EN 10204 has been verified and the mechanical properties (UTS, YS, El%, hardness) conform to the requirements of AMS 4928 for Ti-6Al-4V titanium alloy.

This Agreement constitutes the entire agreement between the Parties with respect to its subject matter and supersedes all prior negotiations, representations, and agreements, whether written or oral.

The cost plus method has been applied to contract manufacturing activities, with an 8% markup on direct and indirect production costs.

The leak test was performed at 315 bar (1.5 times operating pressure) for 5 minutes per test procedure TP-QA-042 Rev. C. No leakage was detected.

A review of cross-indemnity provisions among Group entities has been initiated to determine which entity bears the ultimate financial burden of the litigation.

The provision has been measured in accordance with IAS 37, based on the best estimate of the expenditure required to settle the obligation at the reporting date, discounted at a risk-free rate of 3.2%.

The comparability analysis was performed using the Bureau van Dijk / TP Catalyst database, selecting comparable companies based on functions performed, assets employed, and risks assumed (FAR analysis).

The applicable reference documentation for this lot is specification SP-AV3000-Rev.D dated 01/11/2019, together with control plan CP-AV3000-Rev.D and manufacturing routing MR-AV3000-Rev.D.

Dimensional inspections were performed on a Metrologix M-G2 coordinate measuring machine (CMM), calibrated and certified in accordance with ISO 10360-2. The expanded measurement uncertainty ($k=2$) is ± 0.003 mm.

The Customer reserves the right to audit the Supplier's facilities, records, and quality management systems upon fifteen (15) business days' prior written notice, to verify compliance with this Agreement.

Non-destructive testing by fluorescent penetrant inspection (FPI) was carried out in accordance with NAS 410 / EN 4179 Level 2, by a certified NDT operator. No linear indications exceeding 1.5 mm were detected.

The management fee charged by the parent company to subsidiaries represents 3% of each subsidiary's consolidated revenue, remunerating general management, strategic planning, legal support, and treasury services.

The Parties agree to hold quarterly performance review meetings to assess key performance indicators including quality metrics, on-time delivery rates, and corrective action effectiveness.

It is recommended that no public statement be made regarding this matter, given the confidentiality obligations under the mediation clause and the potential for reputational harm.

The Audit Committee has reviewed the principal accounting estimates and management judgements and concluded that the methods applied were appropriate and consistent with prior periods.

Each Party shall comply with all applicable laws and regulations, including without limitation anti-bribery legislation (UK Bribery Act 2010, US FCPA), data protection laws (GDPR, UK Data Protection Act 2018), and export control regulations.

The Group's net cash position stands at EUR 127 million as at 31 December, an increase of EUR 23 million compared to the prior year, primarily driven by working capital improvements.

Environmental conditions during functional testing were within specification: temperature 23 ± 2 degrees C, relative humidity $45 \pm 10\%$, hydraulic fluid cleanliness class 6 per NAS 1638.

The tax treatment of the litigation provision has been reviewed by the Finance Department. The provision is tax-deductible subject to compliance with HMRC guidelines.

A conflict-of-interest check has been performed to ensure that the appointed external counsel does not represent any adverse party or have any relationship that could compromise the objectivity of their advice.

The Supplier shall implement and maintain environmental management practices in accordance with ISO 14001 and shall comply with REACH and RoHS regulations. Material Safety Data Sheets shall be provided upon request.

External legal counsel has provided a qualified opinion on the prospects of the defence, estimating the probability of an adverse outcome at between 40% and 60%.

The legal risk analysis has been conducted in accordance with IAS 37 principles concerning provisions, contingent liabilities, and contingent assets. The probability of the risk materializing has been assessed on a three-tier scale: probable, possible, or remote.

All pre-existing intellectual property shall remain the sole property of its owner. Bespoke developments created by the Supplier under this Agreement and funded by the Customer shall vest in the Customer upon creation.

The impairment test of goodwill was performed in accordance with IAS 36, based on discounted cash flow projections using a WACC of 9.5%. No impairment loss was recognised.

Intercompany transactions are remunerated on an arm's length basis in accordance with the OECD Transfer Pricing Guidelines and section 482 of the US Internal Revenue Code.

The capital expenditure budget for the current year is EUR 18.5 million, of which EUR 12.3M is allocated to production capacity and EUR 6.2M to R&D activities.

The deferred tax provision has been calculated on temporary differences between IFRS carrying amounts and tax bases, at the applicable tax rate of 25.83% for French entities and 30.175% for the German entity.

Year-end accruals include the following items: customer delay penalties (EUR 2.1M), product warranty provisions (EUR 1.2M), tax risk provisions (EUR 0.8M), and voluntary redundancy payments (EUR 0.6M).

In the event of late delivery, the Customer shall be entitled to liquidated damages of 0.5% of the relevant Purchase Order value per week of delay, capped at 10% of the total Purchase Order value.

The Legal Department has identified a contagion risk, as the facts underlying the claim may be replicated at other production sites within the Group.

The limitation period for the action is six (6) years from the date of the cause of action under the Limitation Act 1980 (England and Wales). The period expires on or about 15 March 2028.

The Group's operating margin stands at 8.7% for the year, down 0.8 percentage points from the prior year, driven by the integration of Precis-Tec and associated restructuring costs.

Packaging and labelling of all Products shall conform to the specifications set forth in the applicable Schedule. The Supplier shall be liable for any damage attributable to inadequate packaging during transport.

An examination of notification obligations to insurers has been completed. The claim notification was submitted within the contractual timeframe.

The Group's litigation history in comparable matters shows an amicable resolution rate of approximately 65%, with settlement amounts averaging 45% of the initial claim.

Pursuant to the Group's disclosure obligations, this matter must be reflected in the notes to the consolidated financial statements as a contingent liability, without specifying the provision amount to avoid prejudicing the Group's position.

The fatigue test was conducted per ASTM E466 at ambient temperature (23 +/- 2 degrees C), with a stress ratio $R = 0.1$ and a cyclic frequency of 10 Hz. The specimen endured 10^7 cycles without visible crack initiation.

This Agreement may not be assigned, in whole or in part, by either Party without the prior written consent of the other Party. Any unauthorized assignment shall be void and of no effect.

Trend analysis of supplier non-conformities over the past 24 months shows a significant increase in dimensional deviations (+35%) from the supplier, requiring enhanced surveillance.

The provision amount has been determined based on the best estimate of the expenditure required to settle the present obligation at the reporting date, taking into account the risks and uncertainties inherent in the matter.

In the event of regulatory changes materially affecting the terms of this Agreement, the Parties shall negotiate in good faith to amend the Agreement within a reasonable timeframe.

The Country-by-Country Report has been prepared in accordance with OECD BEPS Action 13 guidelines and filed with the relevant tax authority within the statutory deadline.

The Supplier shall maintain a traceability system enabling identification of raw materials, manufacturing operations, and quality inspections for each delivered Product. Records shall be retained for a minimum



of ten (10) years.

Storage conditions for released parts conform to requirements: temperature 15-25 degrees C, relative humidity below 60%, protection from dust and mechanical shock. Maximum storage duration before dispatch is 90 days.

The matter will be monitored by the Legal Department in coordination with external counsel. A progress update will be presented to the Audit Committee at its next quarterly meeting.

The failure of either Party to enforce any provision of this Agreement shall not constitute a waiver of such provision or of the right to enforce it at any time thereafter.

The provision movement schedule shows a net charge of EUR 3.2 million for the year, primarily driven by litigation provisions (+EUR 1.8M) and restructuring provisions (+EUR 1.4M).

The German entity's taxable income has been adjusted for permanent differences between IFRS and German tax rules (HGB), particularly regarding depreciation methods and provisions.

The conclusions of this legal analysis are subject to legal professional privilege and must not be disclosed to third parties without the prior approval of the General Counsel.

Insurance coverage under the Group's professional indemnity policy has been verified. The applicable deductible is EUR 500,000 per claim, with an aggregate annual limit of EUR 50,000,000.

All notices under this Agreement shall be in writing and delivered by registered mail, internationally recognized courier service, or email with read receipt confirmation, to the addresses set forth in the preamble.

It is noted that any document filed in the proceedings may be subject to disclosure to the opposing party. Internal documents should be prepared accordingly.

The Supplier warrants that it holds all necessary authorizations, licenses, and permits required for the performance of its obligations. The Supplier shall promptly notify the Customer of any change that may affect its ability to perform.

The dimensional deviation on port B bore (measured: 25.015 mm against tolerance of 25.000 +0.010/-0.000 mm) has been subject to an engineering concession request (ref. EC-2024-0089).

The batch record review was completed by the Head of Quality and Airworthiness prior to lot release. All identified non-conformities have been dispositioned and closed.

Part marking includes: lot number, part number, serial number, date of manufacture, and inspector stamp. Marking is performed by micro-percussion per customer specification.

Neither Party shall, during the Term and for twelve (12) months thereafter, directly or indirectly solicit or hire any employee of the other Party who was involved in the performance of this Agreement.

Effectiveness verification of the corrective actions will be performed over the next three production lots. The CAPA will be closed after confirming no recurrence over a minimum of 150 parts.

Where subcontracting is authorized by the Customer, the Supplier shall remain solely responsible for the performance of all its contractual obligations. The Supplier shall ensure that subcontractors are bound by confidentiality and quality requirements no less stringent than those in this Agreement.

Budget variance analysis shows a 4.2% overrun on production costs, primarily attributable to raw material price increases (titanium +18%, specialty steel +12%) during the second half of the year.

The Supplier shall procure and maintain throughout the Term professional liability insurance with a minimum cover of five million euros (EUR 5,000,000) per occurrence and in the aggregate per year, and shall provide evidence thereof upon request.

The solution heat treatment and ageing cycle was carried out as prescribed: solution at 940 degrees C for 2 hours, water quench, followed by ageing at 540 degrees C for 8 hours, air cool.



The 2% royalty rate on net sales for intra-group IP licenses is consistent with the benchmarking study results, where the interquartile range spans from 1.5% to 3.0%.

The supplier audit report identified three (3) major non-conformities relating to forging process control and raw material traceability. A corrective action plan with deadlines has been demanded.

Bristol, le 15/01/2023
Managing Director

James Hartley